



— Academy

Commercial Income Analysis

VALUATION **ADVANCED**

Value income property on what it earns — and know when the market disagrees.

THE PROBLEM

What you're facing

Income-producing property must be valued on its income, which means defensible rent, vacancy, expense, and capitalization-rate assumptions in a market that shifts.

WHY IT MATTERS

What's at stake

Commercial parcels carry large value per record, so assumption errors are expensive and heavily appealed. When vacancy rises in a corridor, the income approach — not the comp approach — is where the value actually moves.

THE MENTAL MODEL

How experts think

Experts build from market-derived NOI, not pro-forma optimism: realistic market rent, a vacancy/collection loss that reflects the actual submarket, normalized expenses, then a cap rate extracted from comparable sales. They sanity-check the income value against any sales and reconcile, rather than trusting one number.

Workflow

1. Establish market rent from comparable leases, not the owner's pro forma.
2. Apply a submarket-supported vacancy and collection loss.
3. Normalize operating expenses to derive NOI.
4. Extract a cap rate from comparable sales; apply direct capitalization.
5. Reconcile the income indication against any sales evidence.

Common mistakes

- Using contract rent where market rent has moved.
- Carrying a stale, corridor-wide vacancy assumption.
- Picking a cap rate by feel instead of extracting it from sales.
- Trusting the owner's pro forma without testing it.

Tools

Lease/rent comparables Operating expense data Cap-rate sales extraction Submarket vacancy data

DO THIS NEXT

Now What?

- 1 Re-derive vacancy for any corridor showing rising openings before certification.
- 2 Extract cap rates from recent comparable sales, not last available number.
- 3 Reconcile income value against sales evidence.



Forge



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GPT